

Accounting Suggestion

01. What is accounting? What is the relation between accounting and engineering? What is the advantage of accounting?

Ans: **Accounting** consists of three basic activities—it **identifies**, **records**, and **communicates** the economic events of an organization to interested users. Accounting has been defined as the art of summarizing, classifying and recording in significant manner and in terms of money. It makes possible to determine profit and loss of the business.

Accounting and Engineering: While accounting is most closely related to economics, it has many points in common with engineering and with public administration. Engineering involves cost of construction and cost of operations. Engineering is therefore related to general accounting and in particular to cost accounting. Engineering projects are carried out by money and varied business transactions that need to be accounted correctly.

Advantage of accounting:

In modern world the advantages of accounting is vast. Such as

- (1) Accounting collects a permanent record of all business activities.
- (2) It makes possible to determine the profit and loss of business.
- (3) It helps to make comparative study of assets and liability.
- (4) It makes possible to determine total financial position of a business.
- (5) It is used to determine income tax and sales tax.

02. Question: Identify and describe the steps in the accounting process. [ICE-RU-2011, 2013]

Answer : Accounting consists of three basic activities—**identification, recording, and communication** .

As a starting point to the accounting process, a company identifies the economic events relevant to its business. Examples of economic events are the sale of goods, purchase, providing services and payment of wages.

Once a company identifies economic events, it records those events in order to provide a history of its financial activities. Recording consists of keeping a Journal, ledger and Trial balance.

Finally, communicates the collected information to interested users by means of accounting reports. The most common of these reports are financial statements, income statement, owners equity statement, cash flow statement. To make the reported financial information meaningful.

03. Define Accounting? Who are the users of accounting information? Discuss. And what information do they want to learn from the financial statements. [[ICE-RU-2013, 2014, 2015, 2016]

Ans : Accounting is an information system that identifies, records, and communicates the economic events of an organization to interested users.

The major users and uses of accounting are as follows:

Internal Users

Internal users of accounting information are managers who plan, organize, and run the business. These include

- marketing managers,
- production supervisors,
- finance directors,
- company officers.

External Users

External users are individuals and organizations outside a company who want financial information about the company. The two most common types of external users are----- investors and creditors.

- **Investors** (owners) use accounting information to make decisions to buy, hold, or sell ownership shares of a company.
- **Creditors** (such as suppliers and bankers) use accounting information to evaluate the risks of granting credit or lending money.

04. What is business transaction? State the characteristics and classification of business transaction with example. [[ICE-RU-2013, 2015]

Answer : **Transaction:** The events which alter the financial position are called transaction.
Example: Bought a computer taka 5000/=.

Business transaction: The term “business transaction” has been defined as ‘Any event’ that alter the financial position whose such alternation can be measured in terms of money.

Example: Purchased a computer taka 15000/- It is transaction because it makes the financial change.

Again 20 bags punched. This it not transaction because it does not altars the financial position.

Characteristic of transaction: The characteristics of transaction are given below:

1. Events must be measureable in terms of money
2. Financial change must be bought by the events
3. There must have two accounts or parties in each transaction (Double aspects of transaction)
4. Transaction must be independent.
5. It has historical events
6. It also have some historical events (Depreciation, Goodwill)

05. What is accounting cycle? Briefly state the steps involved in an accounting cycle? [ICE-RU-2013, 2015, 2017]

06. Explain the types of a profit-oriented organization?

Answer:

Proprietorship: A business owned by one person is generally a **proprietorship**. The owner is often the manager/operator of the business. Small service-type businesses (plumbing companies, beauty salons, and auto repair shops), farms, and small retail stores (antique shops, clothing stores, and used-book stores) are often proprietorships. Usually only a relatively small amount of money (capital) is necessary to start in business as a proprietorship. The owner (proprietor) receives any profits, suffers any losses, and is personally liable for all debts of the business. There is no legal distinction between the business as an economic unit and the owner.

Partnership: A business owned by two or more persons associated as partners is a **partnership**. In most respects a partnership is like a proprietorship except that more than one owner is involved. Typically a partnership agreement (written or oral) sets forth such terms as initial investment, duties of each partner, division of net income (or net loss), and settlement to be made upon death or withdrawal of a partner. Each partner generally has unlimited personal liability for the debts of the partnership. Like a proprietorship, for accounting purposes the partnership transactions must be kept separate from the personal activities of the partners. Partnerships are often used to organize retail and service-type businesses, including professional practices (lawyers, doctors, architects, and certified public accountants).

Corporation: A business organized as a separate legal entity under state corporation law and having ownership divided into transferable shares of stock is a **corporation**. The holders of the shares (stockholders) **enjoy limited liability**; that is, they are not personally liable for the debts of the corporate entity. Stockholders **may transfer all or part of their ownership shares to other investors at any time** (i.e., sell their shares). The ease with which ownership can change adds to the attractiveness of investing in a corporation. Because ownership can be transferred without dissolving the corporation, the corporation **enjoys an unlimited life**.

Although the combined number of proprietorships and partnerships in the United States is more than five times the number of corporations, the revenue produced by corporations is eight times greater. Most of the largest enterprises in the United States—for example, ExxonMobil, Ford, Wal-Mart, Citigroup, and Apple—are corporations.

07. “Bookkeeping and accounting are the same.” Do you agree? Explain. What are steps of recording process?

Ans: Bookkeeping and accounting are not same. Because –

Bookkeeping usually involves **only** the recording of economic events. It is therefore just one part of the accounting process. In total, **accounting** involves the entire process of identifying, recording and communicating economic events.

The basic steps of recording process

Although it is possible to enter transaction information directly into the accounts without using a journal, few businesses do so. Practically every business uses three basic steps in the recording process:

1. Analyze each transaction for its effects on the accounts.
2. Enter the transaction information in a journal.
3. Transfer the journal information to the appropriate accounts in the ledger.

08. What is double entry system? Write down the advantage of double entry system.

Ans:

09. What is the basic accounting equation? Write the expanded form of accounting equation?

Answer: .

Basic Accounting Equation mentioned below:

$$A \text{ (Asset)} = L \text{ (Liabilities)} + O/E \text{ (Owner's Equity)}$$

Asset: Asset means the economic resources that belong to a business that is invested for making profit. For example, furniture, buildings, machineries of a business.

Liability: Liability means the financial rigidity that has to be paid up after a certain period of time. That is it is the claim of the third party over the total assets of the business.

Owner's Equity: If the claim of the third party is deducted from the total assets of the business the rest will be known as owner's equity. That is the claim of the owner over the entire assets of the business is known as owner's equity. Four elements affect owner's equity. These are:

- Investment of owners
- Drawing
- Revenue
- Expense

Extending Accounting Equation, we get -

Assets = Liabilities + Capital + Revenue - Expenses - Drawings
Means, $A = L + (C + R - E - D)$

Where,

A=Assets

L=Liabilities

C=Capital

R=Revenue

E=Expenses

D=Drawings

Question : Describe the The origin and evolution of accounting:?

Answer :

From the history of civilization people used to keep records of different important events on the bark of trees, by drawing lines on stones in caves. Later they learnt keeping accounts of stocks and stocks by making marks on the walls at home and making knots with the help of creepers. Gradually the number of population increases, society erupts, exchange system developed, currency was introduced, and trade and commerce was initiated. Purchase-sales, income-expenses and other transactions were recorded mathematically.

In 1494, an Italian Mathematician wrote a book entitled 'Summa de arithmetica, geometria, proportioni et proportionalita' (The Collected Knowledge of Arithmetic, Geometry, Proportion and Proportionality) and explained the basic principles of book keeping the double entry system in it.

During the passage of time, progress also occurs in science, technology and in business and as such accounting developed. The stature of business grew from small to large. The use of accounting is visible/ applied in personal and familial life along with commercial, non-commercial, govt. and non-govt., profitable and in nonprofitable organizations.

The development of accounting is related to the development of science and technology. Now a day's accounts are kept in computers rather manually. It saves time and labor as well as helps organization taking desired decision.

Question :What are the Objectives and necessity of accounting:

Answer:

(1). Without proper recording of transactions, it is not possible to know the financial condition of a firm. Therefore, the foremost objective of accounting is to record the transactions properly into the books of accounts.

(2). One of the main objectives of accounting is to ascertain financial condition and result. It is possible to locate the motion of a business through identifying the profit and loss. Recording all the incomes and expenses properly the profit and loss of a firm can be obtained.

(3). The pen picture of financial condition can be seen by calculation the assets, liabilities, and owners equity of a firm.

(4). Reducing cost can optimize the objective of a business. Accounting helps to record the expenses properly and thus helps reducing cost.

- (5). Accounting has no alternatives in controlling the fraud and forgery of a business firm. With proper recording of accounts, we can resist and control fraud and forgery.
- (6). Helps in informing financial condition to interested group and thus takes correct decision.
- (7). Financial information of the previous year helps in taking proper steps by making comparative study.
- (8). Determines the source of internal and external flow of money of various services oriented nonprofit organizations like schools, colleges, hospitals, clubs and societies and ascertain their accounts balance.
- (9). Govt. accumulates through collecting VAT, duties and taxes and contributes to different regular and development areas. The role of accounting is great in managing smooth functions of govt. Besides, the books of accounts and related documents are useful to a firm in many ways i.e. for bank or taking loan from money lending organization, fixing the sales price of a product,

10. What is meant by Journal? State its functions. What is Journalizing ? Describe Importance of Journal.

Answer: **The Journal**

The **journal** is referred to as the book of original entry. For each transaction the journal shows the debit and credit effects on specific accounts.

Companies may use various kinds of journals, but every company has the most basic form of journal, a general journal. Typically, a general journal has spaces for dates, account titles and explanations, references, and two amount columns.

JOURNALIZING

Entering transaction data in the journal is known as journalizing. Companies make separate journal entries for each transaction.

A complete entry consists of

- (1) the date of the transaction,
- (2) the accounts and amounts to be debited and credited
- (3) a brief explanation of the transaction.

Importance of Journal:

The journal makes several significant contributions to the recording process:

- 1. It discloses in one place the complete effects of a transaction.
- 2. It provides a chronological record of transactions.
- 3. It helps to prevent or locate errors because the debit and credit amounts for each entry can be easily compared.

11. Define Ledger and balances ? Distinguish between ledger and Journal?

Answer: **The Ledger**

The entire group of accounts maintained by a company is the **ledger**. The ledger keeps in one place all the information about changes in specific account balances.

Companies may use various kinds of ledgers, but every company has a general ledger. A general ledger contains all the asset, liability, and owner's equity accounts.

12. what is T account? [[ICE-RU-2016]

13. What is trial Balance? Write down the rules of a trial balance.

Answer:

A trial balance is a list of accounts and their balances at a given time. Customarily, companies prepare a trial balance at the end of an accounting period. They list accounts in the order in which they appear in the ledger. Debit balances appear in the left column and credit balances in the right column.

For example, a trial balance may well have detected the error .In addition, a trial balance is useful in the preparation of financial statements

The **steps for preparing a trial balance** are:

1. List the account titles and their balances in the appropriate debit or credit column.
2. Total the debit and credit columns.
3. Prove the equality of the two columns.

ACCOUNTING MATH:

- Tabular Analysis
- Journalize Transaction, Ledger balance and T – account
- Trial balance and Adjusting Entry